



Term Evaluation Theory (Even) Semester Regular Examination February 2026

Roll no.....

Name of the Course: B.Com (Hons.)

Semester: IV

Name of the Paper: Cost Accounting

Paper Code: BCH-402

Time: 1.5-hour

Maximum Marks: 50

Note:

- (i) Answer all the questions by choosing any one of the sub-questions
- (ii) Each question carries 10 marks.

Q1.

(10 Marks)

a. State the objectives and importance of Cost Accounting. (CO:1)

OR

b. From the following incomplete information, prepare a Cost Sheet and compute the missing figures. The management of a manufacturing concern provides the following data for the year ended 31 March 2025: (CO:1)

- Direct material consumed = ₹ 3,60,000
- Direct wages = ₹ 2,40,000
- Factory overheads = 60% of direct wages
- Office and administration overheads = 10% of works cost
- Selling and distribution overheads = 10% of cost of production
- Sales = ₹ 11,00,000
- Profit = 20% of sales

You are required to find:

1. Works Cost
2. Cost of Production
3. Cost of Sales
4. Profit (amount)
5. Complete Cost Sheet

Q2.

(10 Marks)

a. A company furnishes the following data: (CO:1)

Particulars	Amount (₹)
Raw material consumed	1,20,000
Direct wages	80,000
Factory overheads	40% of direct wages
Office overheads	20% of works cost
Selling overheads	10% of cost of production
Profit	25% of cost of sales

Prepare a Cost Sheet and find Sales value.

OR

b. Explain in detail the cost concepts and give the classifications of cost. (CO:1)

Q3.

(10 Marks)

a. State the different techniques used for material control in cost accounting. (CO:2)

OR

b. A firm uses a material with the following data: (CO:2)

- Minimum consumption = 120 units/week



Term Evaluation Theory (Even) Semester Regular Examination February 2026

- Maximum consumption = 200 units/week
- Normal consumption = 160 units/week
- Lead time: minimum 3 weeks, maximum 6 weeks
- Re-order quantity = 800 units

Compute: Re-order level, Minimum level, Maximum level, Average stock level.

Q4.

(10 Marks)

a. Discuss any two methods in Pricing of issue of material from godown to factory outlet.(CO:2)
OR

b. Prepare the Stores Ledger Account under FIFO method for January. (CO:2)

Transactions

1. Jan 1: Opening stock – 300 units @ ₹10
2. Jan 3: Purchase – 400 units @ ₹11
3. Jan 5: Issue – 500 units
4. Jan 7: Purchase – 250 units @ ₹12
5. Jan 9: Issue – 200 units
6. Jan 11: Purchase – 350 units @ ₹13
7. Jan 13: Issue – 300 units
8. Jan 15: Purchase return – 50 units out of Jan 11 purchase (₹13)
9. Jan 17: Issue return (from Jan 13 issue) – 40 units (*assume returned at the same FIFO issue price i.e., ₹13*)
10. Jan 19: Purchase – 300 units @ ₹14
11. Jan 21: Issue – 250 units
12. Jan 25: Issue – 220 units
13. Jan 28: Purchase – 200 units @ ₹15
14. Jan 30: Issue – 180 units

Find:

- Value of each issue
- Closing stock (quantity + value)

Q5.

(10 Marks)

a. Compare Halsey vs Rowan (CO:2)

Data:

Standard time = 20 hrs; Actual time = 14 hrs

Hourly rate = ₹60; Halsey bonus = 50%

OR

b. Critically analyze the different departments responsible for labour control in an organization.(CO:2)